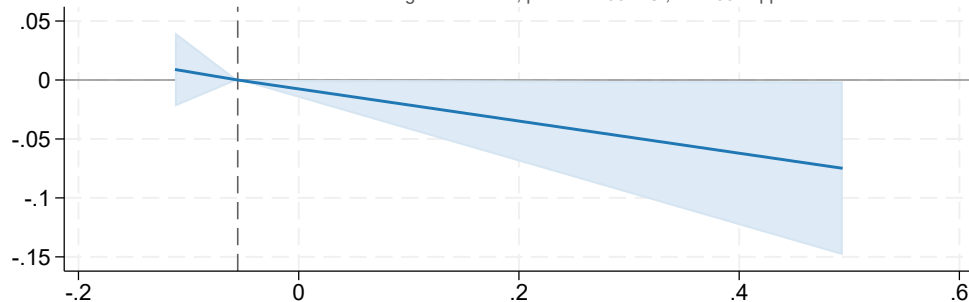


Marginal effect on next-period debt-change ratio

Debt-change marginal effect without b_{it}

Full controls excluding current debt; pointwise 95% CI; P1-P99 support



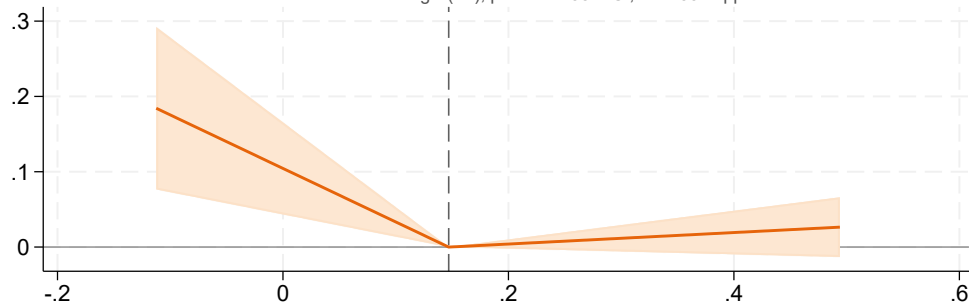
Empirical adaptation index θ^A

Positive values imply higher next-period debt changes; dashed line: re-estimated cutoff c .

Marginal effect on readiness change

Fiscal-pressure effect without lagged readiness

Full controls excluding $A(t-1)$; pointwise 95% CI; P1-P99 support



Empirical adaptation index θ^A

Positive values imply higher readiness changes; dashed line: re-estimated cutoff c .